

Before the  
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND  
MSC MEDITERRANEAN SHIPPING COMPANY SA

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**COMPLAINANT MCS INDUSTRIES, INC.'S MOTION FOR APPROVAL OF  
SETTLEMENT AND TO PRESERVE CONFIDENTIALITY OF SETTLEMENT**

Complainant MCS Industries, Inc. (“MCS”), having reached a settlement with Respondent COSCO SHIPPING Lines Co., Ltd. (“CSL”) of MCS’s claims against CSL in this action, respectfully moves the Honorable Erin M. Wirth, Chief Administrative Law Judge and the presiding officer in this action, pursuant to 46 C.F.R. §§ 502.72(a)(3), 502.5 and 502.13(c) for an order (1) permitting MCS to file the settlement agreement (the “Settlement Agreement”) between MCS and CSL (each a “Party” and, collectively, the “Parties”) under seal, (2) approving the Settlement Agreement, (3) on the basis of the Settlement Agreement, dismissing MCS’s claims against CSL in this action, with prejudice, and (4) maintaining the confidentiality of the Settlement Agreement.

**PROCEDURAL HISTORY**

MCS filed its Verified Complaint in this action on July 28, 2021. The Secretary of the Federal Maritime Commission (“FMC”) served a Notice of Filing of Complaint and Assignment on August 3, 2021. By Order dated August 4, 2021, this action was assigned to Chief Administrative Law Judge Wirth, who issued her Initial Order that same day. Respondent MSC Mediterranean Shipping Company SA (“MSC”) filed its Verified Answer on August 26, 2021.

CSL filed its Answer to Verified Complaint on August 30, 2021. On September 3, 2021, CSL filed a motion for enlargement of time for the exchange of initial disclosures, which Chief Administrative Law Judge Wirth granted on September 7, 2021. As noted in CSL's recent motion, during this time the Parties have engaged in productive discussions with the shared objective of reaching a prompt negotiated resolution of this dispute, and on September 10, 2021, the Parties executed the Settlement Agreement for which they now seek approval.

**THE SETTLEMENT AGREEMENT SHOULD BE APPROVED**

“The Commission has a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’” *Aeneas Exporting LLC, Complainant v. Carlo Shipping Int’l, Inc., Respondent.*, Docket No. 20-11, 2020 FMC LEXIS 189, at \*2, 2020 WL 5942148, at \*2 (Fed. Mar. Comm’n Aug. 24, 2020) (Wirth, C.J.) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)) (emphasis in original). “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia - New Zealand Conf. and Columbus Line, Inc.*, Docket Nos. 88-2, 88-4, 1988 FMC LEXIS 25, at \*19, 24 S.R.R. 1129, 1134 (ALJ Aug. 12, 1988)). ““Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.”” *Mac Indus., Inc. d/b/a Mac Container Line, Complainant v. Cosco Shipping Lines Co., Ltd., Respondent.*, Docket No. 20-09, 2020 FMC LEXIS 181, at \*3,

2020 WL 4464298, at \*2 (Fed. Mar. Comm’n July 29, 2020) (Wirth, C.J.) (quoting *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. and N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

Evaluating this motion to approve the Settlement Agreement entails examining whether it “reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc.*, 31 S.R.R. at 636 (quoting *Delhi Petroleum Pty. Ltd.*, 24 S.R.R. at 1134). The primary factor to be considered, however, is the FMC’s “strong and consistent policy of encouraging settlements . . . .” *APM Terminals N. Am., Inc.*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc.*, 29 S.R.R. at 978).

In this action, MCS and CSL, both sophisticated corporate entities, arrived at the Settlement Agreement through extensive, arm’s length negotiations that involved businesspeople and counsel on both sides, and CSL’s counsel has authorized the undersigned to represent that CSL supports this motion and the relief that it seeks. The Settlement Agreement does not contravene any law or public policy, and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any non-parties, Respondent MSC, or the shipping public. Instead, the Settlement Agreement is intended to restore and reinforce the long-standing business relationship between the Parties. As such, the Settlement Agreement is fair and reasonable, and reflects the Parties’ desire to resolve their issues without the need for costly and uncertain litigation. For these reasons, MCS respectfully requests that the Settlement Agreement be approved and, on that basis, its claims against CSL in this action be dismissed, with prejudice.

**REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL**

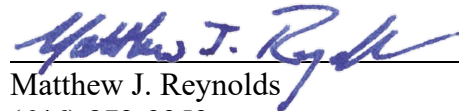
The FMC routinely affords confidential treatment under 46 C.F.R. § 502.5 to settlement agreements, recognizing that they “often contain sensitive commercial information that should be

protected from public disclosure.” *D.F. Young, Inc., Complainant, v. NYK Line (North America) Inc., Respondent.*, Docket No. 16-02, 2018 FMC LEXIS 41, at \*6, 1 F.M.C.2d 135, 136–37 (Fed. Mar. Comm’n May 22, 2018). ““If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.”” *Marine Transp. Logistics, Inc., Complainant v. CMA-CGM (America) LLC, Respondent.*, Docket No. 18-07, 2020 FMC LEXIS 24, at \*6, 2020 WL 948582, at \*3 (Fed. Mar. Comm’n Feb. 18, 2020) (Wirth, C.J.) (quoting *Al Kogan v. World Express Shipping, Transp. and Forwarding Servs., Inc.*, Docket No. 00-04, 29 S.R.R. 68, 70 n.7 (ALJ Dec. 14, 2000)). This Settlement Agreement is the result of confidential commercial negotiations between the Parties, and MCS therefore respectfully requests, with CSL’s support, leave to file the Settlement Agreement under seal for review and approval, and that the Settlement Agreement thereafter continue to be afforded confidential treatment by the FMC.

Dated: September 10, 2021

Respectfully submitted,

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